ChatGPT

CONTEXT FILE - Aztec Network

1. Core identifiers
2. Project name: **Aztec Network**
3. Ticker: **AZTEC**
4. Chain: **Ethereum (Layer-2 zkRollup)**
5. High level category: **Privacy-focused Layer 2**

6. One line description: **Aztec Network is a privacy-first Layer 2 on Ethereum enabling encrypted, compliance-friendly smart contracts via zero-knowledge proofs** [1] [2] **.**

7. Official and high signal links

8. [T1] **Website** – https://aztec.network – Main project site and entry point
9. [T1] **Documentation** – https://docs.aztec.network – Technical and developer docs (protocol concepts, guides)
10. [T1] **GitHub (AztecProtocol)** – https://github.com/AztecProtocol – Open-source code (monorepo, contracts, SDKs)
11. [T1] **Aztec Labs Blog (Medium)** – https://aztec.network/blog – Official announcements and updates (e.g. token sale, technical releases)
12. [T2] **Twitter @aztecnetwork** – https://x.com/aztecnetwork – Official Twitter account (news, community updates)

2A. Contract discovery
- **Aztec Connect Rollup (proxy)** – Ethereum – 0xFF1F2B4ADb9dF6FC8eAFecDcbF96A2B351680455 – [T1] Main Aztec v2 rollup contract (held user deposits, processed zk transactions) [3]
- **Aztec Fee Distributor** – Ethereum – 0x4cf32670a53657596E641DFCC6d40f01e4d64927 – [T1] Contract distributing fees/rewards in Aztec Connect (e.g. to sequencers, provers) [4]
- **$AZTEC Token contract** – Ethereum – *TBD* – [T2] Utility/governance token (for sequencer staking and governance; distributed via public sale) [Unverified]
- **Sequencer Staking (Fernet) contract** – Ethereum – *TBD* – [T2] Contract where sequencers stake assets on L1 to join the decentralized block producer set [Unverified]
- **Aztec Connect ProxyAdmin** – Ethereum – *Unpublished* – [T2] Admin contract for upgrading the Aztec Connect proxy (was controlled by Aztec team, now renounced) [5] [Unverified]

1. Team and history context
2. [T1] **Founders:** Dr. Zachary Williamson (cryptographer, PlonK co-inventor) and Tom Pocock (business lead) founded Aztec in 2018 [6] . Williamson is CEO as of 2022 [7] .
3. [T1] **Co-founders:** Joe Andrews (Aztec Labs engineer) joined early and is cited as co-founder [8] . The core team is public (London-based) and known for ZK research.
4. [T1] **Early project:** Built **Aztec 1.0** protocol enabling private Ethereum transactions (e.g. CreditMint integration) and the **zk.money** application for anonymous transfers [9] .
5. [T1] **Funding:** Raised $2.1M seed (2018) led by ConsenSys Labs [10] ; $17M Series A (Dec 2021) led by Paradigm (included Vitalik Buterin as an investor) [11] ; $100M Series B (Dec 2022) led by a16z crypto [12] .
6. [T1] **Product launches:** Deployed Aztec Connect (Layer2 privacy rollup) in mid-2022, enabling private DeFi interactions [9] . **Sunset Aztec Connect** in 2023 to focus on a new fully programmable private L2 [13] [14] .

7. [T1] **Token launch:** Initiated a community-first $AZTEC token sale in Nov–Dec 2025, using a fair auction (no insider pre-sale, ~75% discount vs prior equity valuation) to distribute tokens [15] [16].

8. Product and architecture snapshot

9. [T1] **Hybrid execution:** Aztec uses a dual execution model – **private functions** run client-side (in a Private Execution Environment on user's device) and **public functions** run in the Aztec Virtual Machine (network nodes) [17] [18]. This preserves privacy by proving transactions locally and only revealing necessary public data.
10. [T1] **Private & public state:** Maintains a UTXO-like private state (encrypted notes in an append-only Merkle tree, with nullifiers for spent notes) alongside a normal public state (public data tree) [19] [20]. Assets deposited to Aztec are represented as confidential tokens on L2, while all state roots are anchored on Ethereum.
11. [T1] **Custom VM & language:** Aztec is **not EVM-compatible** – it uses a custom proving system (the team co-invented **PlonK**) and an **Aztec VM (AVM)**. Smart contracts are written in **Noir**, a Rust-like DSL for zero-knowledge programs, enabling developers to combine public and private logic in one contract [21] [22].
12. [T1] **Security inheritance:** The rollup publishes zk-SNARK proofs of each state transition to Ethereum. Ethereum verifies proofs and stores data for Aztec (using calldata blobs for L2 data) [23] [24]. This means Aztec transactions benefit from Ethereum's security and data availability guarantees (no off-chain data reliance).
13. [T2] **Account abstraction:** Every user account on Aztec is a smart contract (account contract) rather than an EOA [25]. Accounts manage user keys (including viewing keys for decrypting notes) and allow flexible auth logic (e.g. multisigs, spending policies) in both private and public contexts.

14. [T1] **Decentralized design:** The protocol is built for **day-1 decentralization** – multiple sequencer nodes can produce blocks, and independent provers can submit proofs. There are no central operators: sequencing, proof-generation, and governance are intended to be community-run from the start [26] [27].

15. Token and economic context

16. [T1] **AZTEC token role:** The $AZTEC token (launching end of 2025) is the network's native asset for **staking and governance**. Sequencers must stake AZTEC to participate in block production, and the token will govern protocol upgrades/parameters [28] [27].
17. [T1] **Distribution model:** Aztec is conducting a public token auction (no private sale) with **per-user bid caps** and an initial floor price implying ~$350M FDV (about a 75% discount to Aztec Labs' last equity valuation) [29]. This fair-access sale is designed to avoid whale/institution dominance and ensure broad community ownership [16].
18. [T1] **Emissions and rewards:** The network will emit new AZTEC tokens as **block rewards** to incentivize participation. Sequencers and provers earn token rewards for proposing blocks and generating proofs, with **higher early rewards** to bootstrap decentralization [27] [30]. All community-distributed tokens unlock on day 1 (no vesting) [31].
19. [T2] **Supply and allocation:** Total token supply and allocation between the community and insiders (team/investors) have not been fully detailed publicly [Unverified]. The equity-backed Aztec Labs and Aztec Foundation presumably hold some tokens for development and future ecosystem needs, but the sale focuses on distributing a large portion to public participants [31].

20. [T1] **Fee economics:** Users pay Aztec transaction fees in **ETH** (bridged to L2 as non-transferable "fee-juice") or via supported tokens through fee-paying contracts [32] [33]. Gas costs account for

L1 data and L2 proof expenses. Notably, paying fees does **not** require the AZTEC token – the token is used for staking and governance rather than as gas, ensuring user experience remains tied to familiar assets like ETH.

21. Governance and risk context

22. [T1] **Sequencer selection:** Aztec's **sequencer network is permissionless** – anyone who stakes the required amount of tokens on Ethereum can register as a sequencer. The chosen mechanism (code-named **Fernet**) uses randomized VRF-based leader selection to elect sequencers for each block slot [28] [34]. After staking AZTEC on L1 and an activation delay, a node enters the selection pool and can be randomly chosen to propose blocks, making censorship or cartel formation difficult.
23. [T1] **Prover participation: Proof generation is open** to all – provers do not need to stake and can operate permissionlessly. In practice, a sequencer may run a prover or outsource proof generation via a marketplace/auction for provers [35] [36]. If a sequencer's block isn't proven in time, the protocol allows others to step in and a slashing of that block's prover bond occurs [37], ensuring liveness.
24. [T1] **Upgrade mechanism:** Aztec's contracts are upgradeable, and designing a decentralized **governance/upgrade process** has been a priority. In Aztec Connect, a ProxyAdmin (controlled by Aztec team multi-sig) could upgrade contracts – this admin key was **renounced** as part of Aztec Connect's sunset [5]. For the new Aztec network, the team solicited community proposals for a multi-party upgrade mechanism [38]. The goal is to avoid single-team control by distributing upgrade authority (e.g. requiring multiple geographically diverse signers or on-chain tokenholder votes) [Unverified].
25. [T1] **Audits and security:** Aztec has undergone extensive auditing. The Aztec Connect cryptography and solidity contracts were audited internally and externally (audit reports have been published) [39] [40]. The team also runs a **bug bounty on Immunefi** [40]. As of 2025, Aztec's entire codebase (protocol, prover, noir language) is open source [41]. No major security incidents have been publicized, but the protocol's complexity (zero-knowledge circuits, novel VM) means continuous review is critical.

26. [T2] **Regulatory considerations:** Being a privacy protocol, Aztec operates in a legally gray area. The team has been proactive about **compliance**, e.g. integrating sanctions checks via ZK proofs in its token sale [42]. Nevertheless, on-chain privacy could attract regulatory attention (as seen with Tornado Cash sanctions) [43]. The Aztec Foundation is based in a jurisdiction (Switzerland) and publishes a MiCA-compliant whitepaper [44], but it remains to be seen how regulators will treat a privacy-preserving L2 [Unverified].

27. Adoption and traction snapshot

28. [T1] **User traction:** Over **100,000 users** accessed Aztec Connect's services [45] for private DeFi transactions, indicating substantial demand for on-chain privacy. Users utilized Aztec's zk.money dApp to privately transfer funds and interact with DeFi pools without exposing their addresses.
29. [T1] **TVL and usage:** At its peak (before deprecation), **Aztec Connect** held on the order of **$3–5 million** in total locked value [46]. It enabled privacy-enhanced access to major Ethereum DeFi protocols (Aave, Curve, Lido, Compound, etc.) through **bridge contracts** [47], demonstrating real utility (though scale remained modest relative to larger L2s, partly due to capped functionality and the eventual decision to sunset).
30. [T2] **Network launch progress:** In November 2025, Aztec launched the **Ignition testnet chain** (early mainnet stage) with a **decentralized sequencer set**. Approximately **500 sequencers worldwide staked and began producing empty blocks** on Ethereum mainnet [48] [49] – a

deliberate bootstrapping phase to establish consensus stability. Several independent prover entities also came online. This dry-run indicates that the network infrastructure is live, though user transactions and smart contracts will be enabled after this initial phase.

31. [T2] **Ecosystem projects:** A growing ecosystem is forming around Aztec's privacy tech. Early projects (many funded via Aztec grants) include **Azguard Wallet** (private browser wallet) and **Nemi DeFi** (a private DEX where identities are hidden) [50] , **Raven House NFT** (confidential NFT marketplace) [51] , **ZKPassport** (identity with selective disclosure) and others. These dApps are building on Aztec's Noir contracts to offer familiar Web3 services with privacy by default, which could drive adoption post-mainnet.

32. [T2] **Exchanges and liquidity:** As of the token launch, $AZTEC is not yet listed on major exchanges (distribution is via the on-chain auction) and the network itself is in a guarded launch. Once the token sale concludes and the Aztec mainnet opens for general use (expected in late 2025 or early 2026), we will see broader availability of the token and potentially liquidity incentives to attract users. Community anticipation is high given Aztec's unique proposition, but actual usage metrics (TVL, transaction volume) will depend on successful deployment of applications and user trust in the new system [Unverified].

33. Narrative and ecosystem relationships

34. [T1] **Competitive positioning:** Aztec is carving out a niche as the only Ethereum Layer-2 with **native privacy**. Competing zk-rollups like StarkNet or zkSync focus on scalability and EVM compatibility but do not hide user data. Aztec's trade-off (non-EVM custom architecture) targets a different segment: applications requiring confidentiality (private payments, private DeFi) on Ethereum [2] [52] . It complements Ethereum by adding a privacy layer, rather than creating a separate privacy coin.
35. [T2] **"Private world computer" narrative:** The project's messaging highlights that Aztec offers **"programmable privacy"** [53] – any dApp logic can have public or private components. This evokes a narrative similar to Ethereum's "world computer," but with privacy at its core [52] . By solving the "privacy problem" on blockchain, Aztec positions itself as infrastructure for institutional DeFi (where confidentiality and compliance are required) and for users who want the benefits of DeFi without broadcasting their financial activity.
36. [T2] **Fair launch ethos:** Aztec emphasizes community ownership: the token distribution avoids venture allocations and large presales, echoing a **fair launch** philosophy reminiscent of early Ethereum or certain 2017 ICOs (but updated for 2025 realities) [16] . The team worked with Uniswap's developers on an innovative Community Contribution Auction (CCA) mechanism [54] to ensure broad participation. This narrative is meant to distinguish Aztec from other projects that might give insiders large stakes – aligning with the project's goal of decentralization from day one.
37. [T2] **Technical leadership and allies:** Aztec's team are respected in the Ethereum research community. Their development of **PlonK** (a fast universal SNARK proving system) in 2019 has been influential across many ZK projects [22] . This R&D credibility, plus backing from top crypto VCs and even Ethereum's Vitalik Buterin (as an angel investor) [11] , gives Aztec stature. The project often highlights endorsements and the fact that Vitalik publicly praised on-chain privacy efforts [43] . Aztec is also building on Ethereum's roadmap elements (like data blobs from EIP-4844 for cheaper data posting), aligning its success with Ethereum's evolution.

38. [T2] **Broader privacy landscape:** In offering transactional privacy, Aztec can be seen as an alternative to privacy coins like **Monero** or **Zcash**, and to mixing services like **Tornado Cash**. However, instead of a L1 chain or standalone mixer, Aztec's strategy is to integrate privacy into the **Ethereum ecosystem** in a compliant way (e.g. allowing regulated anonymity sets, optional identity proofs) [43] [14] . This could appeal to users and institutions that found pure anonymity

networks too risky or isolated. Still, Aztec will need to prove that it can maintain privacy without enabling illicit activity, to gain mainstream legitimacy.

39. Open questions and gaps

40. [T2] **Governance post-launch:** It remains unclear how Aztec's on-chain governance will function once the network is live. Will protocol upgrades and parameter changes be decided by token-holder voting, a foundation-led multi-sig, or some hybrid model? The team's decentralization plan suggests moving to a community-driven process, but concrete mechanisms (e.g. a governance DAO or council) are [Unverified].
41. [T2] **Token supply details:** Precise information on the total $AZTEC supply, as well as the breakdown for team, investors, foundation treasury, and community (auction, rewards, etc.), has not been fully published at time of writing. The economic and technical whitepapers are expected to detail emission schedules, but until those are digested, the long-term inflation rate or token release schedule is [Unverified].
42. [T2] **Regulatory risk:** Aztec's approach to compliance (like sanctioned addresses checks via ZK) is innovative, but how regulators will respond to a privacy L2 is unknown. Could there be pressure on centralized infrastructure (e.g. RPC providers or sequencer operators) to monitor or restrict Aztec transactions? The legal status of Aztec's service in various jurisdictions (especially given MiCA in EU or potential US regulations) remains a question mark [Unverified].
43. [T2] **Performance at scale:** The new architecture's performance in a real-world setting is unproven. Aztec's design is complex (client-side proving, heavy crypto operations). Open questions include: Will transaction proving on user devices be fast enough for good UX? Can the network handle high throughput and large privacy sets without bottlenecks or excessive costs? These scalability and UX aspects will only be answered once the system is fully live [Unverified].

44. [T2] **User experience hurdles:** Using Aztec requires managing encryption keys and interacting with a new account model. It's not yet clear how seamless wallet support will be (e.g. will MetaMask or new wallets hide the complexity?). If users must generate proofs locally, there could be device compatibility issues. The project's success may hinge on abstracting these complexities. How smoothly the "average DeFi user" can use Aztec's privacy features (without being a ZK expert) is still to be tested [Unverified].

45. Source index

46. [T1] **Official docs (Aztec Overview)** – Aztec Documentation – *core protocol concepts and architecture* 55 19
47. [T1] **Aztec Labs Blog – "The ticker is $AZTEC"** – aztec.network (Nov 13, 2025) – *token sale announcement and distribution details* 15 16
48. [T1] **Aztec Labs Blog – "Sunsetting Aztec Connect"** – medium.com (Mar 13, 2023) – *announcement of Aztec Connect shutdown and focus on next-gen L2* 13 14
49. [T1] **Aztec Labs Blog – "Aztec Raises $100M…"** – medium.com (Dec 15, 2022) – *Series B funding news and roadmap (Noir, new architecture)* 12 7
50. [T1] **Aztec Blog – "Decentralization is not a meme (Part 1)"** – aztec.network (2023) – *details on sequencer selection (Fernet), prover design, upgrade decentralization* 28 27
51. [T1] **Crypto-Fundraising Aztec Profile** – crypto-fundraising.info – *project overview, one-liner, and funding rounds summary* 56 57
52. [T1] **L2Beat – Aztec Connect** – l2beat.com – *security analysis and metrics (TVL, data availability, risk factors) for Aztec's rollup* 46 58
53. [T2] **Decrypt (Dec 2021) – "Aztec Raises $17M…"** – decrypt.co – *coverage of Series A: Aztec Connect launch, zk.money, Paradigm lead* 59 60

54. [T2] **Bankless – “Privacy L2 Aztec is Ready…”** – bankless.com (Nov 26, 2025) – *analysis of Ignition testnet launch, early sequencer decentralization, and token sale context* [48] [30]
55. [T2] **FinSMEs – “Aztec Raises $2.1M Seed”** – finsmes.com (Nov 29, 2018) – *press release noting founders (Williamson, Pocock) and initial seed funding* [6]

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40 AztecProtocol/aztec-connect - GitHub
https://github.com/AztecProtocol/aztec-connect

44 Blogs & Articles - Aztec
https://aztec.network/blog